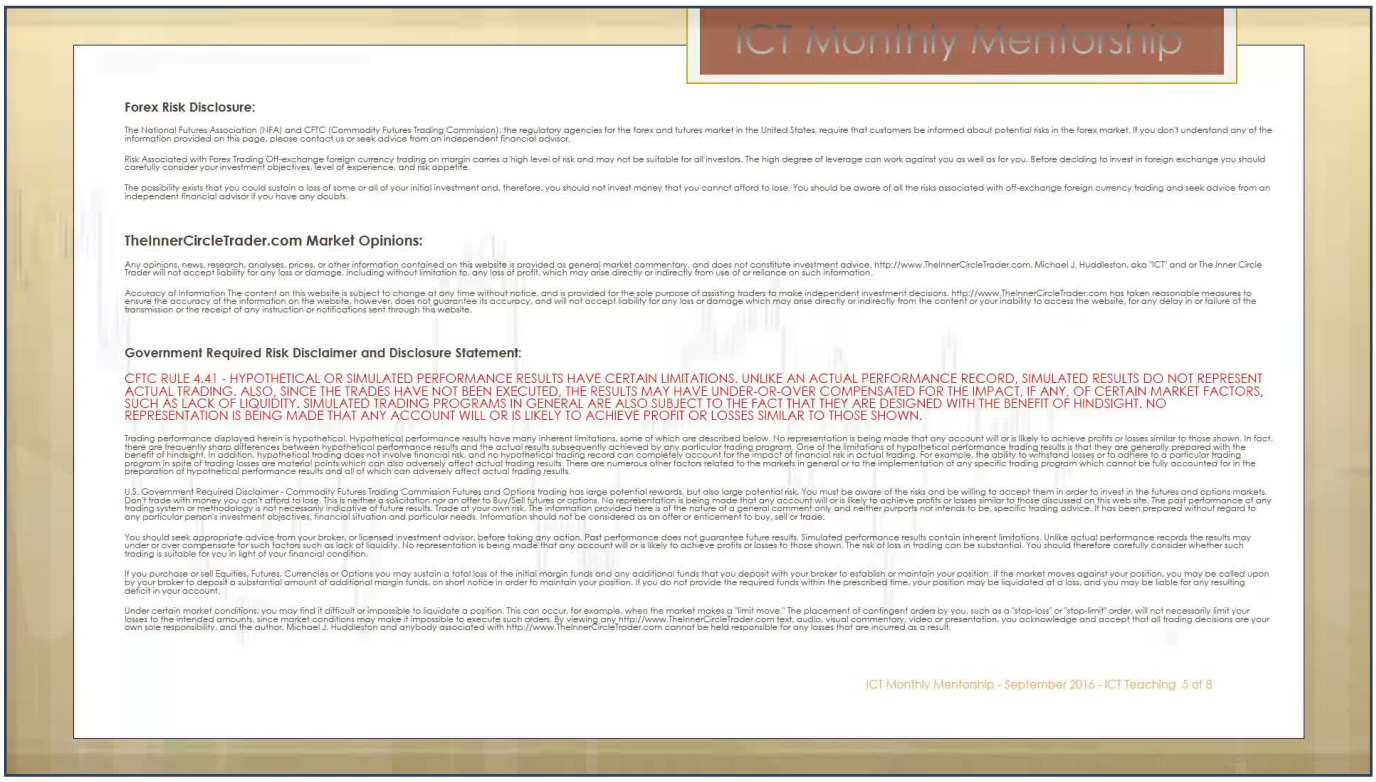
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 1 - EQUILIBRIUM VS. PREMIUM



ICT Monthly Mentorship

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This session, the fifth installment of the ICT Mentorship Core Content for Month 1, September, focuses on Equilibrium versus Premium.

Following the previous session on Equilibrium versus Discount, this tutorial will cover concepts that are largely diametrically opposed to what was discussed previously. This means that many of the principles for Premium markets will be the inverse of those for Discount markets, allowing for less time to be spent on redundant explanations.

DEFINING PREMIUM MARKETS AND IMPULSE PRICE SWINGS

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When referring to 'premium' as it relates to price action, ICT is actually referring to the current range that the market is trading in.

The first thing to look for is an 'impulse price swing.' This could be one distinct impulse price swing, or multiple smaller impulse price swings that collectively make up one larger 'impulse leg' or impulse swing by itself.

USING FIBONACCI FOR RANGE DEFINITION AND OPTIMAL TRADE ENTRY (OTE)

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When defining ranges, the use of the Fibonacci tool is helpful. It can be drawn from a high down to a price low to identify the impulse price swing.

ICT has taught that the 'Optimal Trade Entry' (OTE) is a standard 79 to 62 retracement level on the Fibonacci. While other disciplines or mentors might suggest the 50 percent retracement level is a good level to trade, ICT does not agree with that alone, emphasizing there is much more to it than just pulling a fib over top of price swings.

EQUILIBRIUM AND PREMIUM THRESHOLDS FOR SELLING

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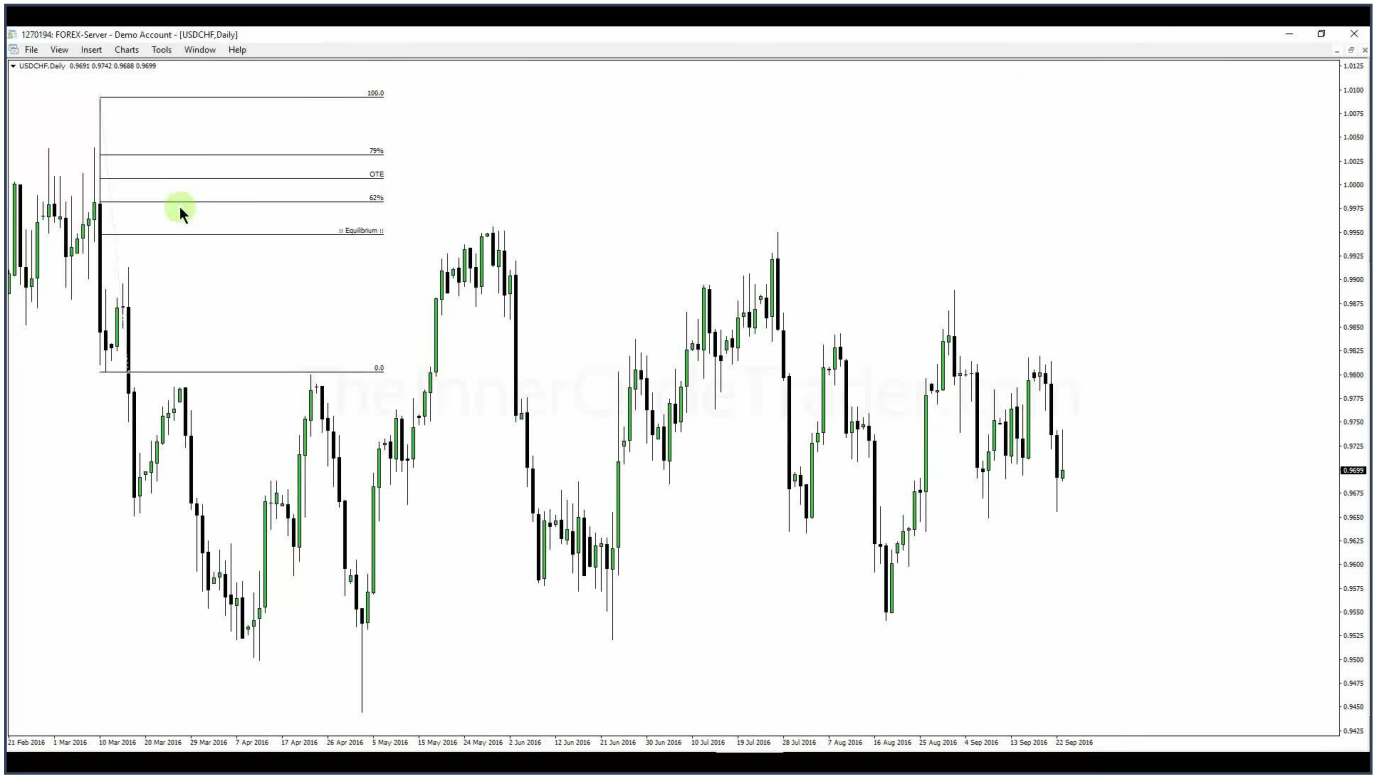
Within a larger price swing, there might also be smaller price swings. When the market starts to retrace, 'equilibrium' (half of the impulse price swing) must be at least touched. Once it hits that, price is watched to reach up into higher areas.

For a market to be at a premium in a current price range, it needs to move above the halfway point (50 percent level) of the range created from the high to low. Equilibrium is simply the 50 percent level on the Fibonacci.

- A market price move above the halfway point (50 percent) signifies it is entering a premium market.

- A premium market means it is at a really high price relative to its current trading range.

- We do not need overbought/oversold indicators to classify an overbought or oversold market; simply knowing the current price range and if it's above the 50 percent level is sufficient to deem it at a premium level.



If a price swing does not get above the 50 percent equilibrium level, or only touches it without staying above, it does not offer an opportunity to get short based on this model. Such scenarios would result in 'nothing to do' relative to that specific price swing.

For effective selling, the primary focus is on the 62 percent or 79 percent retracement levels (the OTE range). The reason is that at these levels, the market is 'really pressed higher' and would be considered 'very overbought,' suggesting a willingness for price to sell softer and go lower.

- There will be times when the market does not present this scenario, and those particular price legs must be allowed to go without you.

THE TURTLE SOUP SELL SCENARIO AND PROFIT TAKING

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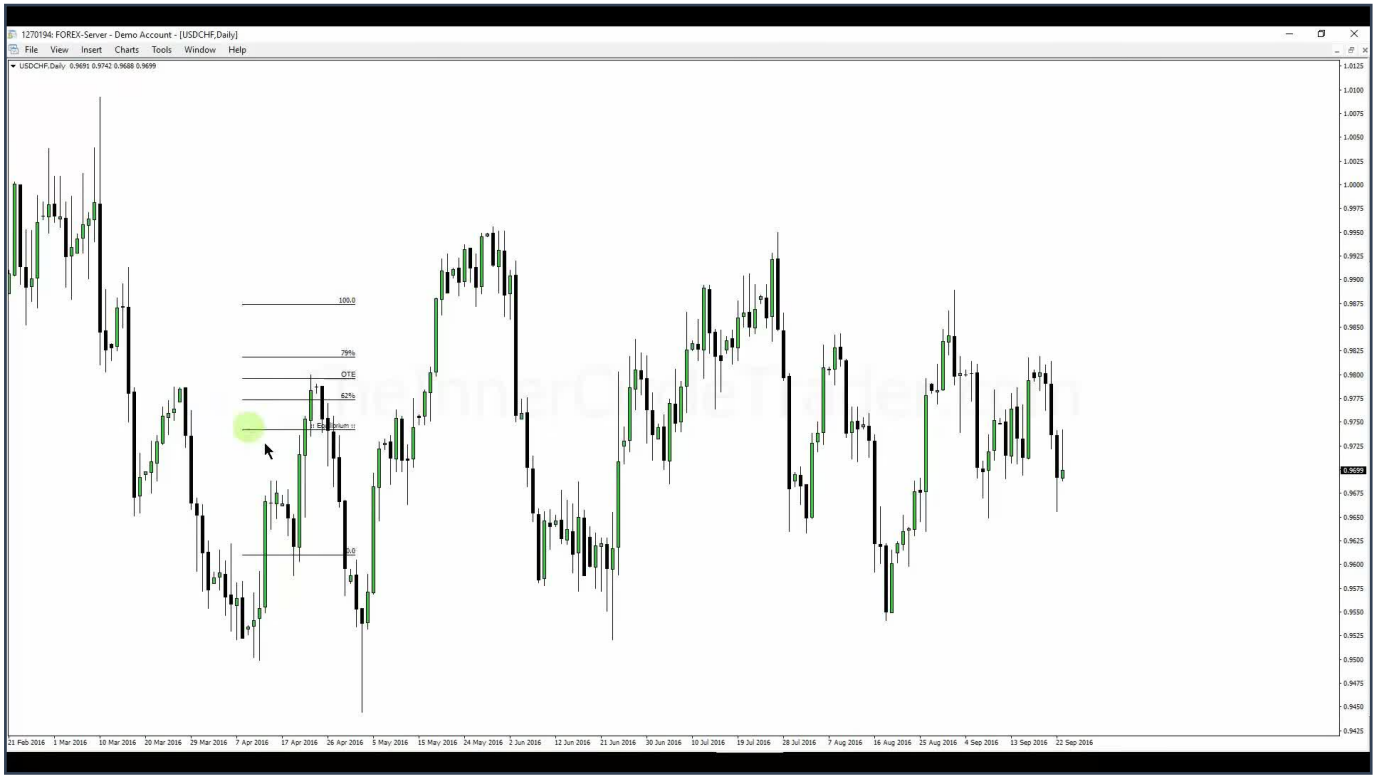
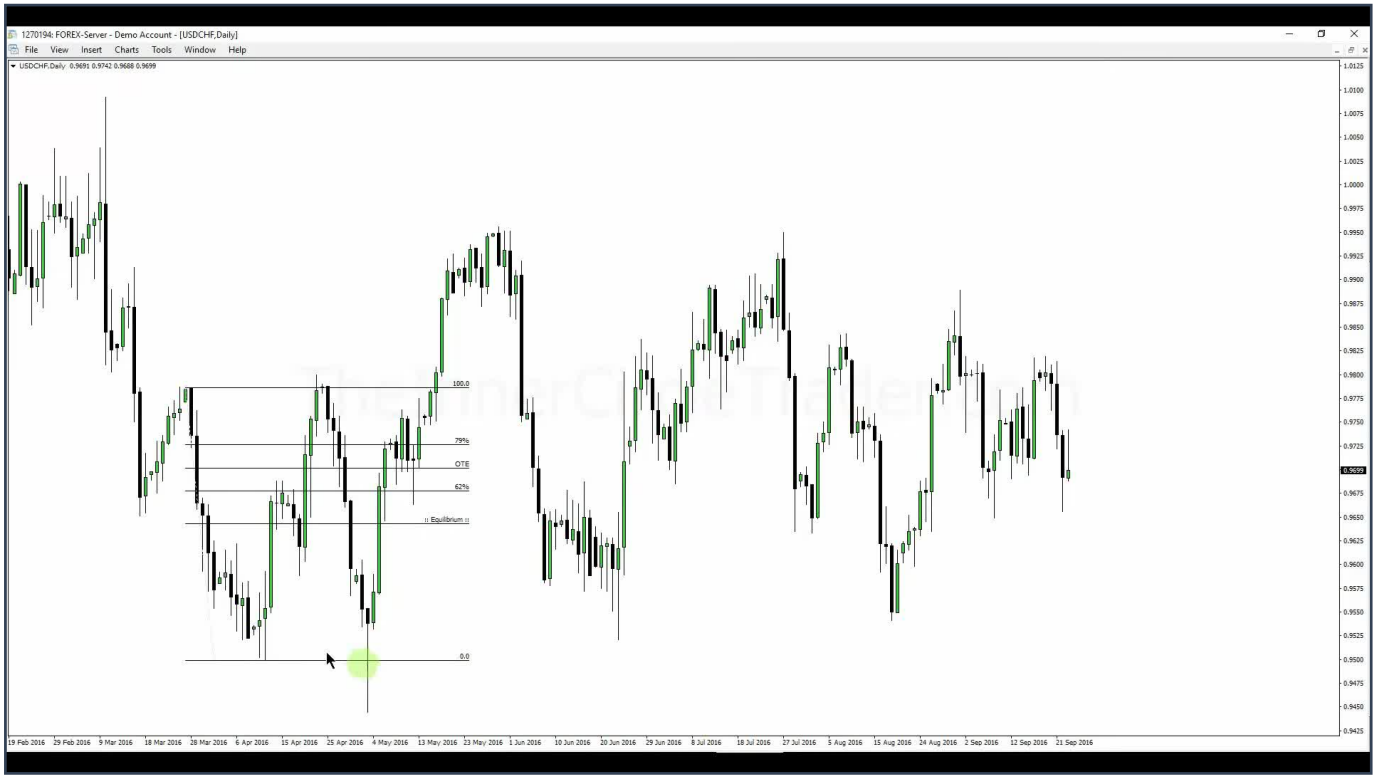


Consider a price swing from a high to a low. If the market trades back up to equilibrium, moves above it into a premium market, and then trades through the 62 percent and 79 percent retracement levels, it can indicate a specific condition.

When the market trades above equilibrium and goes through the OTE levels (62 percent to 79 percent), it sets up a 'Turtle Soup Sell.' This means the market is reaching for stops above the impulse swing's high.

- The market goes up, runs out the stops above the high, and then proceeds to go lower.

- Profit targets for a Turtle Soup Sell are below previously established lows in the marketplace.



When defining ranges, all clear price swings from high down to low are used to anchor the Fibonacci.

Once a swing low forms (identified by four candles, similar to the equilibrium-to-discount teaching), and the market starts bouncing up, price needs to go through the equilibrium price point (50 percent level). If price then gets to the 62 percent to 79 percent retracement levels, especially while running out a previous high, it creates a high-probability shorting opportunity.

- This scenario involves running stops at an old high and returning to a premium to go short. Being above the equilibrium price point of the range high and range low, and taking out stops, makes for a 'really really good' high-probability setup.

- This is the reverse of the equilibrium-to-discount principle: when buying, profits are taken above an old high; when selling in premium, profits are taken below an old low.

PRINCIPLES OF SELLING AT A PREMIUM

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The objective is always to sell at a premium. A premium is defined as being above the equilibrium price point, or the 50 percent level of the Fibonacci, anchored on a 'clear, discernible price action.'

- Only obvious, clear price swings should be measured; avoid anything that looks questionable or sloppy.

- Initial profit targets are typically below the nearest swing low. A portion of the trade can be held for a potential run to even lower, more distant lows.

LARGER PRICE SWINGS AND ORDER BLOCK CONFLUENCE

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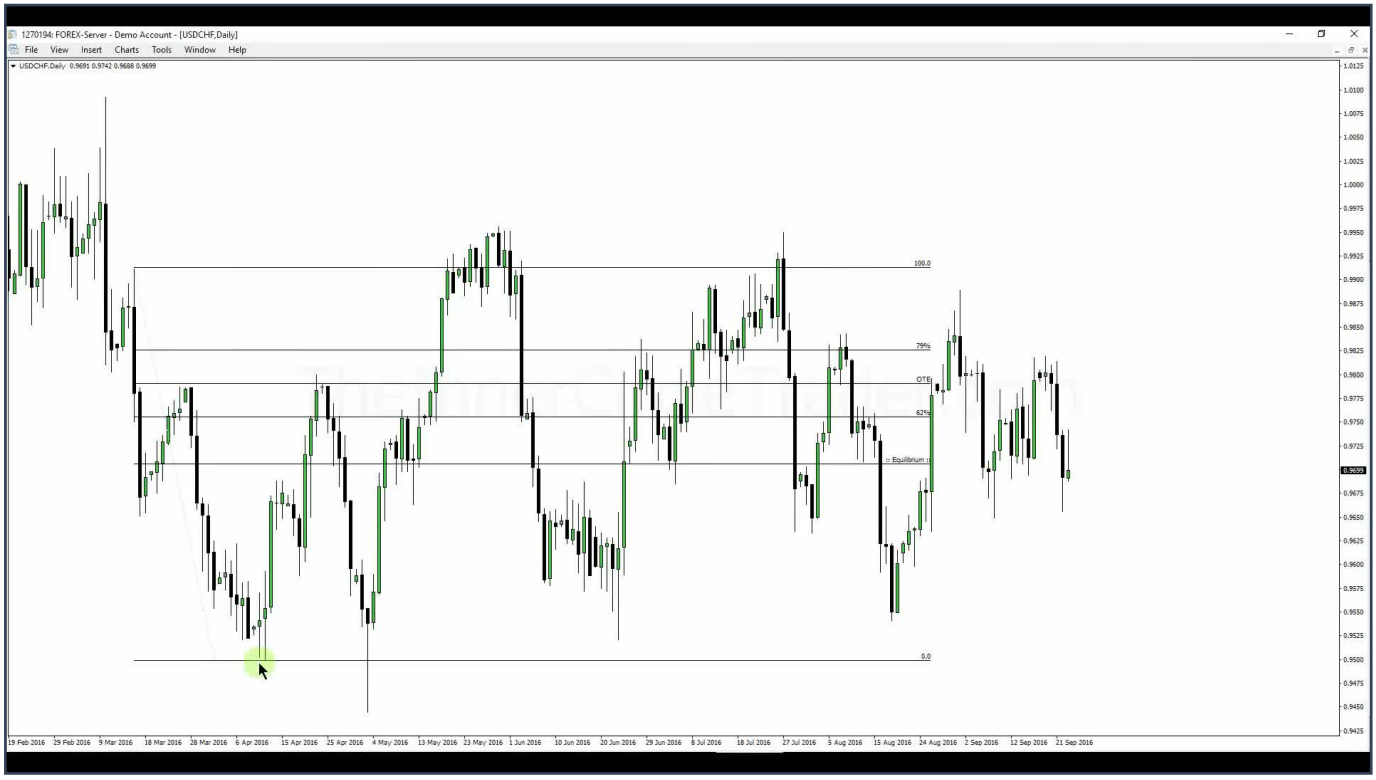

Applying these principles to a larger price swing, such as from a low up to a high, and then seeing the market go right into the 79 percent retracement level, hitting it perfectly, indicates a strong selling opportunity. In this context, the high is considered the origin of the impulse swing.

- Profit targets are looked for below previous lows and into an order block (e.g., a bearish order block down in the price action).

- An up-candle at the bottom of the retracement can signify a bearish order block, providing additional confluence for a short trade.

TRADING CONSOLIDATION WITH PREMIUM AND OTE

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In a 'long protractionary state' or consolidation, where the market goes up and down without strong directional movement, understanding premium and discount becomes a 'go-to' trading strategy, especially for 'Turtle Soups.'

- If a Fibonacci is drawn from a high to a low within this consolidation, and the market gets above equilibrium into the 70.5 percent (Optimal Trade Entry sweet spot), it signifies a strong sell-off opportunity.

- Profit taking is then targeted below an old low.

A swing low can be identified with three candles (unlike Williams fractals that require five).

- If you enter a short trade based on a premium setup, take first profit at a swing low target, but then the market comes back and takes out your stop loss, this is a normal occurrence in trading that should not be avoided.

- If a scenario occurs where old highs are breached while the market is in a deep premium (overbought), you would look for another 'Turtle Soup scenario' or 'Turtle Soup cells.' This involves selling short when the market runs through previous highs.

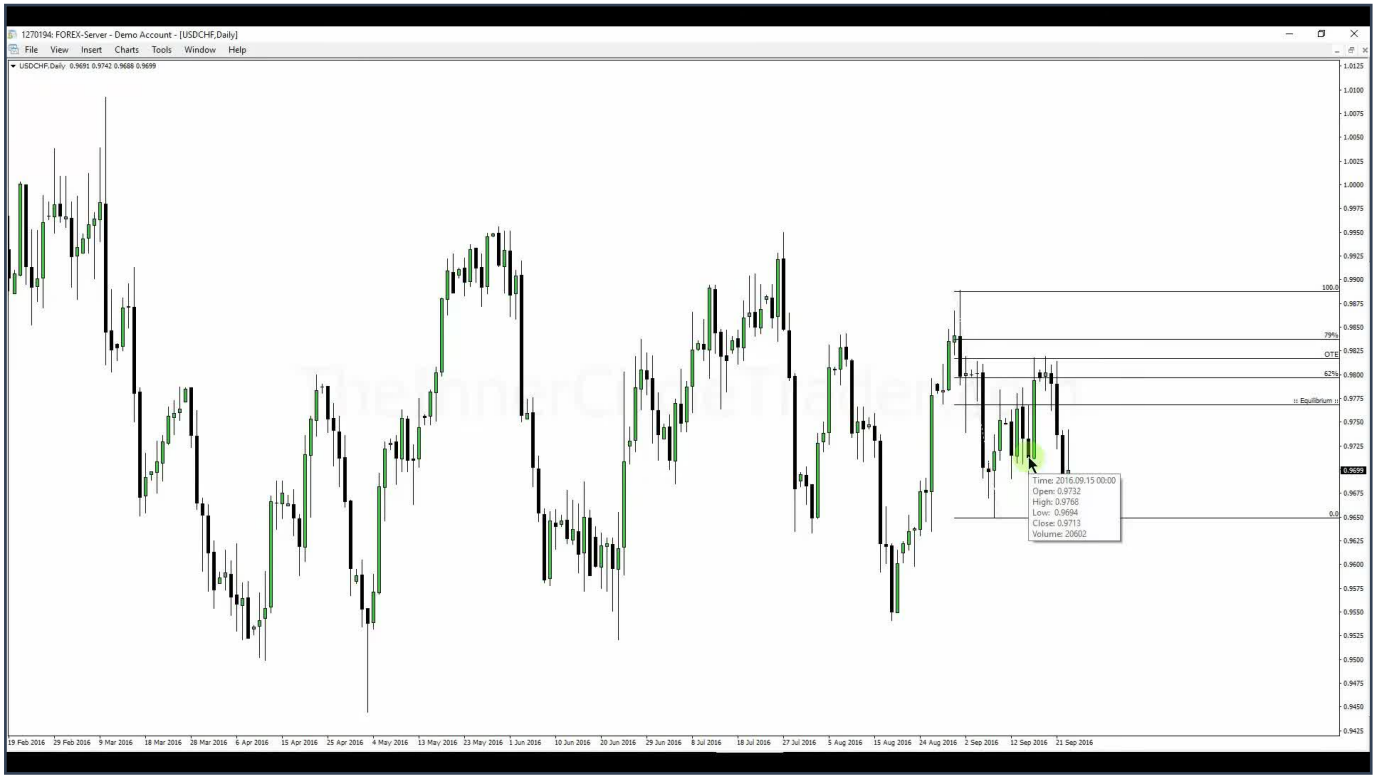
- The market may run through your stop loss multiple times, but the setup remains valid.

In another example of a range defined from a high down to a low, if the market goes above equilibrium and then hits the 62 percent retracement level (with candle bodies stopping perfectly there), it's a selling opportunity.

- The bottom of an up-candle in this area can indicate a bearish order block, which by itself is a sell signal.

- Profit targets are below the old low. After hitting this target, the market often trades back up higher.

- These trades, while not always 'astronomical' or 'enormous,' can still yield substantial pips. For instance, getting short at 98.00 and covering below a low at 96.94 is over 100 pips, especially on a daily chart.



The concepts discussed are universally applicable across different timeframes (e.g., daily charts) and are particularly helpful for traders who cannot engage in day trading.

The professional trader's mindset is to sell at premium prices. Just as someone would sell a car at a premium rather than a discount, professional traders sell their long positions or enter new short positions at premium prices.

- There is no better place to sell short or sell longs than above an old high, as this is where 'willing buyers' in the form of buy stops provide the necessary liquidity for professional entries.

- An example: going short around 98.00 based on a stop run above a high and being at a premium (above equilibrium), then taking profits 10 pips below a low at 97.39 (targeting 97.29-97.30), yields approximately 70 pips on a daily chart. This demonstrates that these concepts are potent regardless of timeframe.

HOURLY CHART APPLICATION: RANGE TRADING WITHOUT BIAS

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These ideas of looking at price movement in a premium market are also applicable to lower timeframes like the hourly chart. A significant advantage is that traders do not need to operate with a daily bias or 'trend direction.'

- The ability to trade 'inside of a range' is crucial because ranges are always present, whether the market is trending, consolidating, or reversing. One does not need to wait for a breakout to make money.

- To define the range, identify the most recent swing high prior to a down move (selecting the one with more price action around it). Draw the Fibonacci from this high down to the lowest low.

- If the market trades up to equilibrium and then into the 79 percent retracement level (premium), and then sells off, profit targets are identified at small swing lows or more significant swing lows.

- For example, getting short around 97.70 on an hourly basis and targeting 10 pips below a swing low around 97.00 (e.g., 96.90) could yield approximately 70 pips, confirming the universal applicability and profitability of these concepts across timeframes.